

ECONOMICS PAPER 2
(Mock Test 40)
Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number									
------------------	--	--	--	--	--	--	--	--	--

Marker's Use Only	
Marker No.	
Question No.	Marks
1	
2	
3	
4	
5	
6	
7	
8	
9	
Total	

Answers written in the margins will not be marked.

- Answers written in the margins will not be marked.

2. Mr. Wong is the owner of a tutorial centre. He employs several employees to operate the centre. Explain which factor of production each of the following belongs to.
- (a) staff of the tutorial centre (2 marks)
- (b) teaching notes used in the classes (2 marks)

HKDSE-ECON 2-2 (Mock Test 40)

Please stick the barcode label here.

3. A smartphone manufacturer expands its business to produce smart electrical appliances.

(a) Explain to what type of expansion the above situation belongs. (2 marks)

(b) List **TWO** possible motives for the above expansion. (2 marks)

(c) Suppose the smartphone manufacturer is a public limited company. If the board of directors does not want to increase the company's interest burden, should the smartphone manufacturer issue shares or bonds to raise capital? Explain. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

4. A fruit shop recently opened new branches in various districts.

(a) The owner of the fruit shop said, ‘After opening more branches, our average cost has dropped.’

Give **TWO** possible reasons for the above statement.

(2 marks)

(b) The following is a job advertisement for the fruit shop.

Store Manager

Working hours: Monday to Saturday
9am to 9pm

Salary: \$15,000 per month
and 0.5% of turnover

From the viewpoint of the fruit shop owner, explain **ONE** advantage and **ONE** disadvantage of using the above wage payment method over a time rate only.

(4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

5. Mr. Cheung runs a dance school. Recently, he has decided to lower the course fees to attract students to enroll in the courses.

(a) What type of production does the dance school engage in? (1 mark)

(b) **WITHOUT** using a diagram, explain under what condition lowering the course fees would result in an increase in total revenue for the dance school. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

- Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Section B (40 marks)

7. Kiff and Joey jointly operate a noodle shop, and they bear unlimited liability.

- (a) Define 'unlimited liability'. (2 marks)
- (b) What type of business ownership does the above firm belong to? Other than unlimited liability, list **TWO** other features of this type of business ownership. (3 marks)
- (c) Later, Kiff and Joey do not want to bear unlimited liability and want to change the company's type of ownership. Explain what type of ownership you would recommend they change to in each of the following situations.
 - (i) They want the ownership of the firm to be easily transferable. (2 marks)
 - (ii) They want the accounting information to be kept confidential. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

8. The Hong Kong Fire Services Department is a public enterprise that provides firefighting, rescue, fire prevention and ambulance services to the public.

- (a) Give **TWO** advantages of providing the above services by a public enterprise instead of a private enterprise. (2 marks)

The Hong Kong Fire Services Department will hold free open days for the public. Activities include booth games, firefighting and rescue demonstrations, and exhibitions, aimed at enhancing the public's awareness of fire safety.

- (b) Explain whether the booth games in the open day are public goods. (3 marks)

Miss Wong, a resident who participated in the open day, said, 'The open day attracts many residents each time, and sometimes you have to wait to participate in the activities.'

- (c) Explain whether the above statement is a positive statement or a normative statement. (2 marks)

- (d) Explain whether Miss Wong's opportunity cost of participating in the open day would change under the following situations:

- (i) On the day of the open day, it rained heavily, causing Miss Wong to feel unwell and need medical treatment. (2 marks)
- (ii) The activities on the open day were more interesting than Miss Wong expected. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

9. Kai Tak Sports Park officially opened in March 2025. It is Hong Kong's largest integrated sports and entertainment landmark, providing sports venues, recreational spaces, retail and dining outlets and other facilities.

Source A: News report on the first concert held at Kai Tak Sports Park

The British band Coldplay held a concert at Kai Tak Stadium in Hong Kong in April 2025. This was the first large-scale concert after the opening of the Sports Park. The four concerts attracted a total of about 200,000 fans. Most tickets sold out quickly during the presale and public sale. Many fans reported that, with so many people waiting online to buy tickets, it was difficult to access the ticketing website, so they were unable to buy any tickets.

Source B: Special traffic and transport arrangements at Kai Tak Sports Park during the dispersal period on the concert dates

- Railway services: the service headway of the MTR Tuen Ma Line and East Rail Line will be enhanced, and spare trains will be arranged to meet the additional demand
- Special bus route services:
 - bus companies will arrange two additional special bus routes to Lok Ma Chau and the Hong Kong-Zhuhai-Macao Bridge Hong Kong Port/Airport
 - a total of 11 special bus routes will be provided, covering major districts across the territory
- Cross-boundary coach services: KTSP Limited (體育園公司) will arrange cross-boundary coach services to facilitate travellers' return to the Mainland

Source C: Some opinions on holding concerts at Kai Tak Sports Park

 A staff member of Kai Tak Sports Park	Organising a concert involves a huge amount of manpower, including venue managers, stage technicians, lighting engineers, and audiovisual equipment operators.
 A merchant in Kai Tak Sports Park	The concert attracted many people to the Kai Tak area, and my restaurant was full during the days of the concerts!
 A fan who has watched the concert	Many people buy tickets and resell them at high prices for profit. I think this practice should be curbed!

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

- (a) Refer to Source A. Illustrate the market situation for the concert tickets mentioned in a demand-supply diagram. (3 marks)
- (b) Which **TWO** basic economic problems are being tackled by the special traffic and transport arrangements in Source B? Use ONE example for each to explain. (4 marks)
- (c) Refer to the view of the staff member of Kai Tak Sports Park in Source C. Which economic principle is illustrated by the arrangements for concerts? State **THREE** reasons why such an arrangement can increase labour productivity. (4 marks)

For part (d), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Suppose there are two suggestions to help make better use of Kai Tak Sports Park.

Suggestion	Objective
1. Introduce mobile food trucks selling special snacks on the event dates	to increase the total revenue of the catering industry
2. Implement real-name registration for purchasing concert tickets	to reduce the cost of buying concert tickets

With reference to the above sources and your own knowledge in Economics, discuss

- how each of the above two suggestions may achieve its objective, and
- some possible factors that may limit the effectiveness of the two suggestions in achieving their corresponding objective.

(9 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Answers written in the margins will not be marked.